

ENGLISH **LIVE**

39

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 39

22nd MARCH, 2017



Bad Loans Call for a Political Solution

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After its electoral success in Uttar Pradesh, the Narendra Modi government has the political capital to push for banks to take some discounts on loans that have gone sour, convert debt to equity and find new buyers for these. The government has been hesitant to push very hard on

this, because it fears that it will be accused of crony capitalism by opposition parties. Today, with increased political capital, New Delhi must not run from opposition jibes. The reassurance to public sector bank managements that they will not be hounded for accepting haircuts to clear up their books, by agencies like the Central Bureau of Investigation and the Enforcement Directorate, is essential to resolve the banking crisis. Otherwise, the bank liquidity crisis and NPA levels will spiral out of control, choking lending and growth.

In other words, spurring further investment and growth in the economy hinges on political rather than technocratic decisions. The point is for the government to lose no further time to take remedial action.

THE ECONOMIC TIMES

21st March, 2017



DISCUSSION ON
22nd Mar (Today)



DISCUSSION ON
23rd March (tomorrow)

Compensate Banks for Farm Loan Waivers

Raising farm incomes is the long-term solution

State Bank of India (SBI) chairman Arundhati Bhattacharya is right to say that writing-off farm loans spoils credit discipline. There is pressing need to alleviate agrarian distress, but loan waivers are bad in principle, and certainly not the best option. It undermines the credit culture: borrowers would wilfully default on repayments in the hope of such schemes. This, in turn, could result in a rise in default rates, impair bank balance-sheets and injure long-term growth. Waivers also create a moral hazard as it penalises borrowers who have honoured their loan commitments. But if this is the way the political system wants to respond to agrarian distress, the government in power must compensate banks for the write-off to ensure that their balance-sheets are not further impaired, ideally by routing the funds through farmers, to protect credit discipline.

Already, state-owned banks are sitting on a pile of bad loans. The last major farm debt write-off to the tune of ₹60,000 crore was announced by the UPA government in



Budget 2008-09. The BJP promised to waive farm loans, as a poll promise while wresting power in Uttar Pradesh. A report by Kotak Institutional Equities estimates about 10% of the ₹86,000 crore farm loans in Uttar Pradesh — mostly disbursed by state-owned banks — to be impaired. If other

states follow suit, it could be a setback to financial sector reform. Compensating the banks — be it from the budget of the state or the Centre — means slashing spending elsewhere, if fiscal discipline is to be maintained. A cost-benefit analysis to figure out which scheme offers greater social benefits is in order.

The long-term solution to alleviate agrarian distress is to ensure higher prices for farm produce. Farming should be made profitable, and this requires stepping up investment in irrigation, rural roads and letting farmers sell their produce outside mandis. Removing barriers to optimise farmers' incomes will allow them to opt for commercial insurance and higher productivity. Credit flow to the farm sector and credit culture will improve. Farmers will stop looking for patronage.

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19th March, 2017



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BANKS BOARD BUREAU



P.J. Nayak Committee

Which recommended BBB



Vinod Rai

First Chairman, BBB

- ✓ Banks Board Bureau constituted
- ✓ Chairman – Vinod Rai (Former CAG)
- ✓ Members :
 - Anil K. Khandelwal, Former CMD of Bank of Baroda
 - Rupa Kudwa, Former MD&CEO, CRISIL
 - H.N. Sinor, Former Joint MD, ICICI Bank
- ✓ In addition, there will be three ex-officio members
- ✓ It will replace Appointments Board for appointment of heads, Whole-time Directors as well as non-Executive Chairmen of PSBs.
- ✓ It is an autonomous body looking at
 - The bad loan problems
 - Board level appointments
 - Advises on strategies for raising of funds
 - And merges and acquisitions

- The Committee recommended for the establishment of BBB as an interim measure.
- Ultimate goal is to establish Bank Investment Company (BIC).



NON PERFORMING ASSETS

“An asset becomes non-performing, when it ceases to generate income for the bank”

HISTORICAL PERSPECTIVE

- ✓ Committee on Financial System (CFS) headed by Shri M. Narasimham was constituted in the year 1991 and the committee gave recommendations in line with the international practices.
- ✓ Subsequently, RBI introduced norms for
 - Income recognition
 - Asset classification
 - Provisioning for advances
- ✓ The policy of income recognition should be objective.
- ✓ Banks are urged to ensure realistic repayment schedules on the basis of cash flows with borrowers.
- ✓ In spite of these precautions taken by banks, NPAs are on the rise either due to reasons beyond their control or wilful defaulting.



NON PERFORMING ASSETS

WHAT IS NON PERFORMING ASSET?

Interest and / or installment of principal remain overdue for a period of more than 90 days in respect of a term loan.

OR

The installment of principal or interest thereon remains overdue for two crop seasons for short duration crops/one crop season for long duration crops.

OR

If the cash credit account or overdraft account becomes out of order.



NON PERFORMING ASSETS

LIVE**1**

SUBSTANDARD ASSETS

- ✓ Which remained NPA for a period less than or equal to 12 months.
- ✓ It indicates well defined credit weakness.
- ✓ Indicates distinct possibility that banks may sustain loss.

2

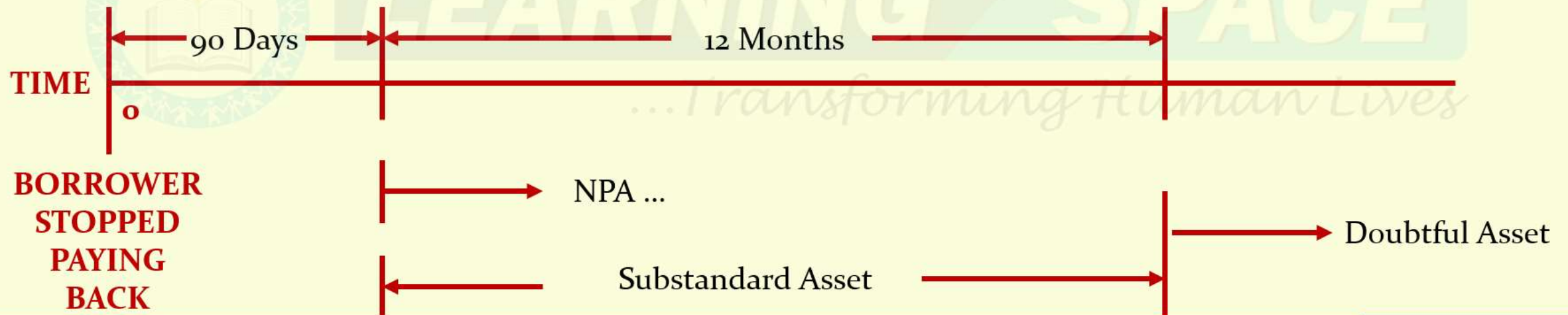
DOUBTFUL ASSETS

- ✓ Which remained in the substandard category for a period of 12 months.
- ✓ It indicates that the weaknesses may lead to liquidation.

3

LOSS ASSETS

- ✓ Where loss has been identified by the bank or internal or external auditors or during RBI inspection but the amount has not been written off.
- ✓ It indicates continuance as a bankable asset is not warranted.





NON PERFORMING ASSETS

REASONS FOR MORE NPAs DURING 2013 TO 2015

1 Macroeconomic situation in the country.	2 Increased Interest rates in recent past.
3 Aggressive lending by banks during good times.	4 System-based identification by SCBs.
5 Some sectors like infrastructure, power etc. are faring badly due to land acquisition, environment & forest related issues, coal linkages etc.	6 Wilful defaulting



NON PERFORMING ASSETS

WHAT CAN THE BANKS DO?



If the bank feels that there is genuine reason

1. Restructuring the loan on easy terms with longer time period

If the bank feels that there is no genuine reason

1. Referring the matter to Debt Recovery Tribunals (DRTs)
2. Referring the matter to Asset Reconstruction Companies (ARCs) as per SARFAESI Act, 2002
3. Filing winding up petitions in court of law
4. By filing criminal cases against the wilful defaulters



IF THE BANK FEELS THAT THERE IS GENUINE REASON

LIVE

1 RESTRUCTURING OF LOANS

- ✓ Done through **Corporate Debt Restructuring (CDR)** mechanism.
- ✓ Implemented by RBI from August 2001.
- ✓ Aimed at corporates affected by certain **genuine internal and external factors**.
- ✓ It covers only multiple banking accounts, consortium accounts / syndicated loan accounts, where the outstanding exposure is Rs. 10 crores or more.
- ✓ In CDR mechanism, lenders can allow
 - **Extension of repayment period.**
 - **Reduction in interest rate.**
 - **Moratorium for some period.**
 - **Additional loan**
- ✓ **CDR is approved, if at least 75%** of the banks by value of the loan and 60% by number agree to the proposal.
- ✓ **Restructured loans will go out of the books of NPAs**
- ✓ The biggest worry is more and more cases are coming up for restructuring, some times without genuine reasons.



1 DEBT RECOVERY TRIBUNALS

- ✓ These are established in various cities under the “Recovery of Debts Due to Banks and Financial Institutions (RDDBFI) Act, 1993”.
- ✓ Banks or FIs can file an application with DRT to recover dues from persons / companies.
- ✓ As per the Act, the issue is to be settled in 6 months.
- ✓ So far, the success rate is around 20% to 30%.
- ✓ In addition, DRATs (Debt Recovery Appellate Tribunals) are located at Allahabad, Chennai, Kolkata, Mumbai & New Delhi.

2 ASSET RECONSTRUCTION COMPANIES

- ✓ These are formed as per the “Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest (SARFAESI) Act, 2002”.
- ✓ It empowers Banks & FIs to recover NPAs without the intervention of the court.
- ✓ This was brought to circumvent the inefficiency of DRTs.
- ✓ Banks have got powers to sell the “declared bad loans.”
- ✓ This is applicable for loans with outstanding of Rs. 1 Lakh and above.
- ✓ RBI has power to issue licences to ARCs and Asset Reconstruction Company (India) Ltd (ARCIL) is the first ARC established in India.
- ✓ It is too early to comment on the success or failure of ARCs.



3

FILING OF CRIMINAL CASES

- Criminal cases can be filed against the borrower, if the bank feels that the non-repayment of debt is due to “wilful default.”
- But, it is rarely resorted to by the banks.

4

WINDING UP PETITIONS

- Winding up petitions can be filed, if the borrower fails to pay back loan, under the Companies Act.
- “Official liquidator” will be appointed by the competent authority, if there is genuine reason.
- It is long drawn procedure in courts and has not given satisfactory results to Banks.



5

STRATEGIC DEBT RESTRUCTURING (SDR)

*This is applicable only for Consortium Loans or
Multiple Banking Arrangements (MBAs)*

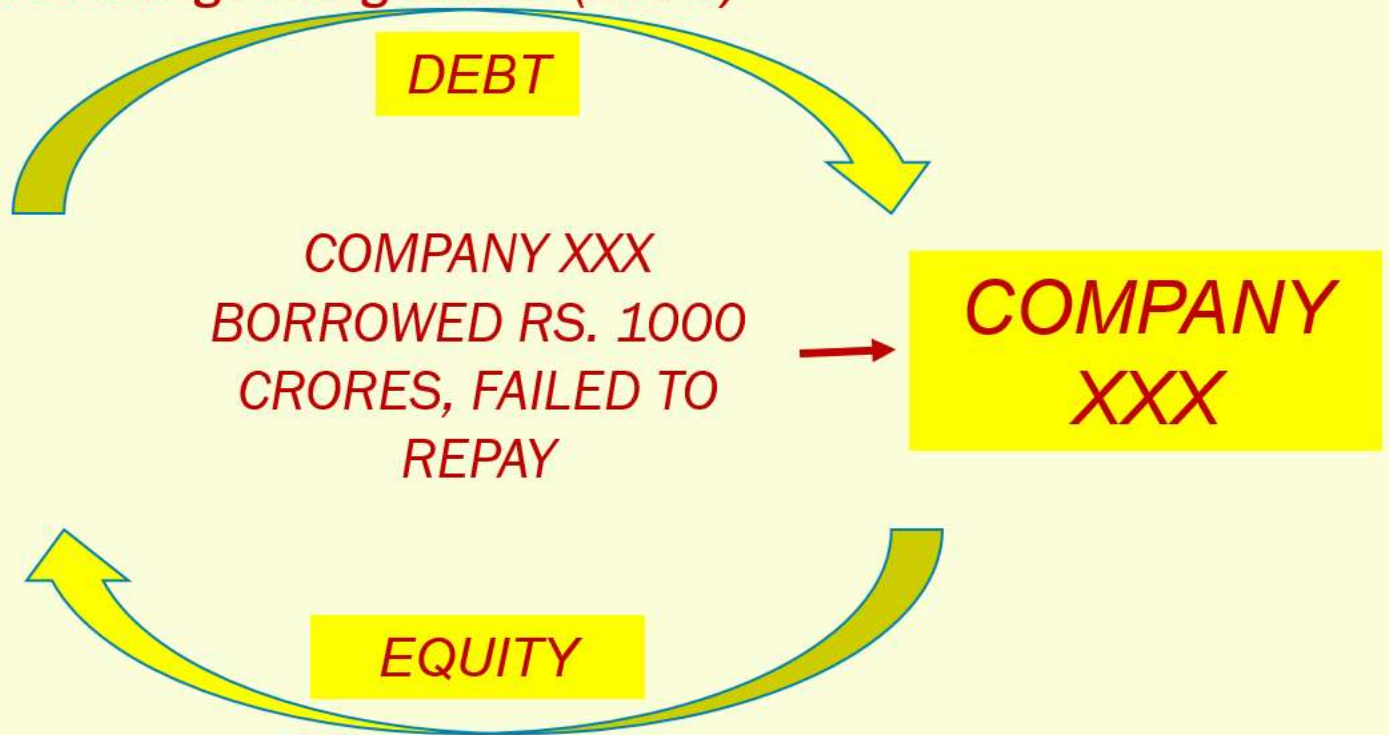


Consortium Lending

OR



Multiple Banking Arrangement Lending



- Now this debt can be converted to equity.
- It gives ownership of the firm for the banks.
- They can change management.
- They can make turnaround of the company.



PARA

PUBLIC SECTOR ASSET
REHABILITATION
AGENCY



WHAT ABOUT HAIRCUT?



भारतीय स्टेट बैंक
State Bank of India
हर भारतीय का बैंक
THE BANKER TO EVERY INDIAN



बैंक ऑफ बड़ौदा
Bank of Baroda



Punjab
National
Bank



KINGFISHER
AIRLINES



Lloyds Steel



PARA

- *It is Public Sector Asset Rehabilitation Agency.*
- *Mentioned in Economic Survey 2016-17.*
- *A fine balance is to be maintained between institutional accountability and autonomy.*
- *PSBs should agree to losses.*



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21st March 2017



LEARNING / SPACE

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Restructuring

*There is a need for
restructuring the software
firms in view of the global
challenges.*

Infosys®



Restructuring

Act of organizing a company, a business to make it operate more effectively



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Rather



*The train was **rather** crowded.*

Rather

To a slight degree



*Ending the civil war in Syria is not a cause for celebration, but **rather** for regret that why it ever happened at the first instance*

Rather

Expressing an opposite opinion



Entails

- Investments in NBFCs give greater returns, but **entails** risk.
- Repairing this old house will **entail** spending a lot of money.



Entails

To make something necessary



Haircuts



Saloon

*As the company is into losses, the top management asked the employees to take the **haircut** of about 10% from the salary.*

HSBC



snapdeal

Haircuts

Haircuts

Reduction in the amount
of money



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No one wants to go to jail for causing loss to state-owned banks and, thereby, to the **exchequer**. This means that the government must give them political cover. That is the **nub** of the challenge. After its electoral success in Uttar Pradesh, the Narendra Modi government has the political capital to push for banks to take some discounts on loans that have gone **sour**, convert **debt to equity** and find new buyers for these.



Exchequer

*Several people are asking for increasing the income tax slabs, but no one is looking at the effect on the **exchequer**.*



Ministry of Finance
Government of India

Exchequer

Government department that receives and gives out public money / national treasury



Nub

*There are more number of NPAs only in the public sector banks, the **nub** of the matter is there is a lot of political interference, while granting big ticket loans in public sector banks.*



State Bank of India
THE BANKER TO EVERY INDIAN



बैंक ऑफ बड़ौदा
Bank of Baroda



HDFC BANK
We understand your world



ICICI Bank
khayaal aapka

Nub

The most important aspect of a situation / The crux or central point of a matter.



Sour

*He had tasted
the wine and
found that it was
sour.*



*In recent times, the
relations between India
and Pakistan have
soured.*

Sour

Having an acid taste like lemon
or vinegar

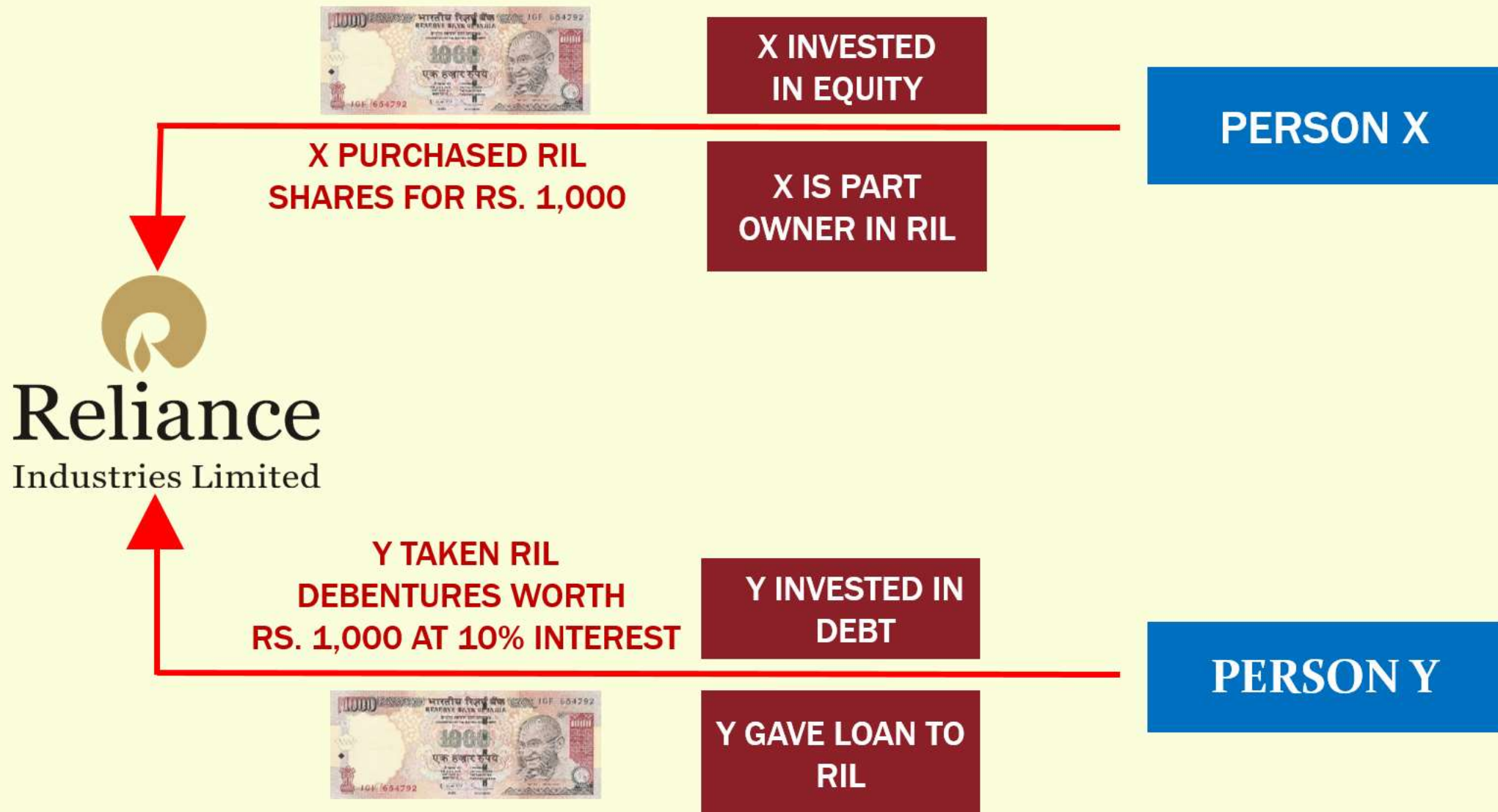
Sour

Becoming unpleasant or
unfriendly



DEBT & EQUITY

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21st March 2017

LEARNING SPACE

...Transforming Human Lives

The government has been **hesitant** to push very hard on this, because

it fears that it will be accused of **crony capitalism** by opposition parties.

Today , with increased political capital, New Delhi must not run from

opposition **jibes**.

...Transforming Human Lives



Hesitant

*Several government officials, most of the times are **hesitant** in taking decisions, fearing investigations from the Central Bureau of Investigation.*



Hesitant

Slow in action/unsure/tentative



Crony Capitalism

*The gap between the rich and the poor is widening and at the same time a number of dollar billionaires are on the rise across the world, probably due to **crony capitalism** in several countries.*



The economic system characterized by close, mutually advantageous relationships between business leaders and government officials.



Jibe

*In India in recent times
jibes by various political
leaders are becoming
quite common.*



Jibe

An insulting or mocking remark



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Hound

*In Turkey, there is a continuous **hounding** over dissenters and the persons who follow the independent press.*



Turkey

Hound

To chase someone because you want to get something from them/Pursue relentlessly



Directorate of
Enforcement



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LEARNING SPACE

...Transforming Human Lives



Otherwise, the bank liquidity crisis and NPA levels will **spiral** out of control, choking lending and growth.

...Transforming Human Lives



Spiral

*Unless the government takes remedial measures, the NPA crisis may **spiral** out of control.*



Spiral

The process of deterioration through the continuous increase or decrease of a specified feature.



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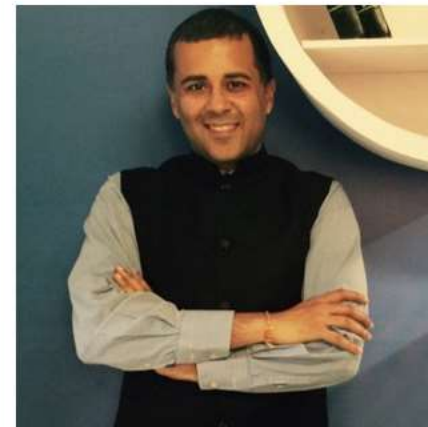
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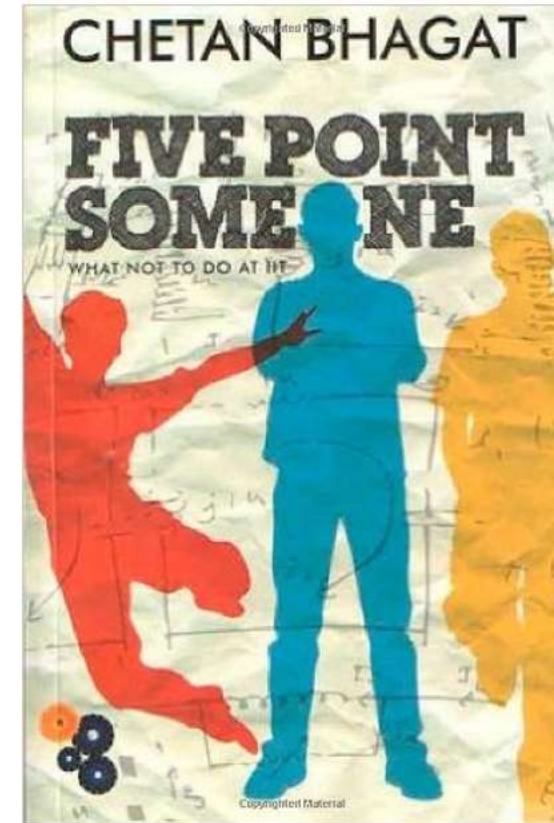
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**Spur**

***Spurred** by his early success,
Chetan Bhagat went on to write five
more novels in the subsequent
years.*



Chetan Bhagat

**Spur**

To encourage an activity



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